

Q1 2025

Custom Managed Portfolios

Beutel Goodman Structured Bond

Quick facts

Asset class:

Canadian Bonds

Management style:

Income¹

Number of holdings:

24

Sub-advisor:

Beutel Goodman

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

April 01, 1997



What does the strategy invest in?

This strategy is designed to provide steady and stable levels of income, while minimizing the effect of reinvestment risk. Usually the longest bond in the portfolio is no greater than 10 years in maturity and all bonds are investment grade. The portfolio is concentrated in Provincial and Corporate issues to enhance yield and income.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	2.0%	2.0%	7.6%	3.3%	1.7%	1.8%	4.4%
Benchmark ⁵	2.0%	2.0%	7.7%	3.6%	1.8%	1.9%	4.2%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	5.2%	5.9%	-7.4%	-2.1%	7.3%	4.2%	1.5%
Benchmark ⁵	5.3%	5.4%	-6.2%	-1.5%	6.1%	4.0%	1.9%

Standard deviation	2.2%	Sortino ratio	1.91	Downside capture	116.2%
Sharpe ratio	1.23	Min. Rating	BBB+	Upside capture	108.5%

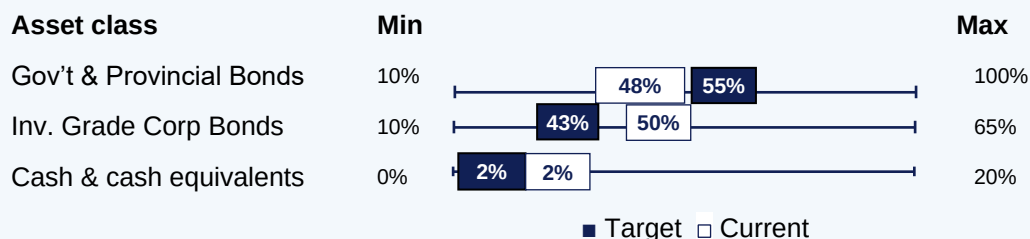
Largest holdings

1. PROV OF ONT 3.65% 02JUN33	11.6%	6. RBC SUSTNBL 4.632% 01MAY28	5.0%
2. CDA GOVT 3% 01JUN2034	9.5%	7. TRANSCDA PPLN 3.80% 05APR27	4.4%
3. QUE PROV MTN 1.5% 01SEP31	9.4%	8. HYDRO ONE LTD 1.41% 15OCT2027	4.1%
4. CDA GOVT 2.25% 01JUN29	6.5%	9. BMO 1.758% NT 10MAR26	3.8%
5. BNS 1.85% 02NOV26	6.0%	10. CIBC FXD 2026 1.96% 21AP26	3.5%

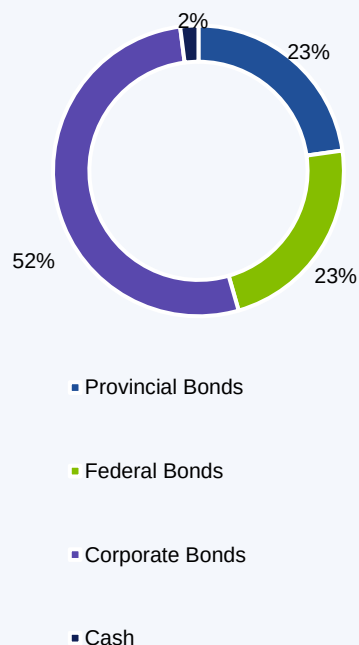
Portfolio attributes

Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average Current Yield	Portfolio turnover
3.1%	3.2%	A+	4.46	3.1%	69.3%

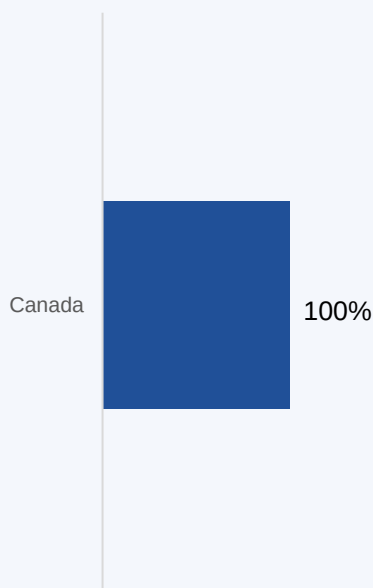
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

In 1933, U.S. President Franklin D. Roosevelt originated the concept of the first 100 days of a presidency; since then, the first 100-day period has typically been crucial in establishing the key goals of a new administration. To that end, President Donald Trump wasted little time in positioning trade tariffs as a central plank of his government's agenda. America First protectionism was a feature of the first Trump presidency, but ultimately that period produced the United States-Mexico-Canada Agreement (USMCA) in 2018, which replaced the longstanding North America Free Trade Agreement (NAFTA).

On his return to the White House, President Trump has been unequivocal in his commitment to what he sees as resetting the balance of international trade in favour of the United States. On April 2, proclaimed "Liberation Day" by the Trump administration, the U.S. government followed through on months of threats and announced a 10% baseline tariff on imports from all countries, as well as a raft of reciprocal tariffs, higher than the baseline, particularly on countries and jurisdictions with large trade deficits, including China (34%), the European Union (20%) and Japan (24%).

Conspicuous by their absence on Trump's reciprocal tariff list were Canada and Mexico. Both countries have been in the firing line of the U.S. president in recent months, but for now have received a reprieve, with no new levies on goods compliant with USMCA. Non-compliant goods such as steel and aluminum have a tariff of 25%, and there is a lower 10% tariff on energy and potash. As of writing, we estimate that Canada is facing an average effective tariff of roughly 14% on all U.S. goods exports.

In addition, Canada will go to the polls on April 28 to elect a new Federal government as Prime Minister Mark Carney (who replaced Justin Trudeau in March) hopes to lead the Liberal Party to a fourth successive election victory. The Conservative Party, meanwhile, hopes to regain power for the first time since 2015. Whoever prevails in the upcoming election, trade negotiations with the U.S. are sure to be an important focus of the new government.

The uncertainty of the trade war has not been welcomed by risk markets, and investors have moved into bonds as a safe haven. The Bloomberg U.S. Aggregate Bond Index returned 2.78% for the quarter, while the FTSE Canada Universe Bond Index returned 2.02%.

The 10-Year U.S. Treasury yield decreased by 36 basis points in Q1, ending the quarter at 4.21%. Yields were also down in Canada, with the Government of Canada 10-Year Bond yield decreasing by 26 basis points over the quarter to 2.97%.

In credit markets, spreads widened during the quarter as bond investors reacted to the implications of tariffs. Spreads sat at historically tight levels at the end of 2024, so a widening was not unexpected, and it appears markets are now shifting to a risk-off environment.

Uncertainty has been the prevailing sentiment in Q1/2025 and we believe this environment is likely to continue for the foreseeable future. We are still in the early stages of a trade war, but should sustained tariffs become the status quo of

the Trump administration, the consequences could be severe for the Canadian economy.

For now, tariffs are a reality and something the next federal government in Canada will need to contend with to avoid a severe economic downturn. We expect concerns for the downside effects of a decline in Canada's GDP will be greater than concerns for sticky inflation, leading the BoC to likely reduce its policy rate later this year.

Given the disparity between the current policy rates of the Fed and the BoC, there are limits to how much more the Bank of Canada can cut. Limits to further rate cuts may increase the need for fiscal stimulus. We believe that targeted fiscal stimulus, such as enhanced employment insurance and infrastructure spending, by both federal and provincial governments, would be an efficient way to counter the impact of tariffs and should be considered as the primary response.

We note, however, that federal and provincial budget deficits are already at elevated levels following the increased fiscal spending from the COVID-19 crisis. Further increases in government deficits could lead to credit rating downgrades. Of note, two rating agencies recently downgraded the Province of British Columbia after its latest budget forecasting increasingly larger deficits (after running a series of surpluses prior to COVID-19).

Nationally, the proposed removal of intra-provincial trade barriers and regulatory red tape could potentially help to mitigate some of the tariff impact on Canada's economy.

Investment manager overview



Since 1967, Beutel Goodman has specialized in applying a value approach to the management of domestic and global equity, balanced and fixed income mandates for institutional and individual investors. Beutel Goodman operates as a private partnership through which 51% of the equity is owned by its operating principals. Affiliated Managers Group, Inc. (AMG), a publicly traded U.S. based asset management holding company, holds a minority 49% position. While Beutel Goodman's operating partners own 51% of the equity (in a voting trust), they have 100% operational autonomy and control of the firm.

Investment philosophy

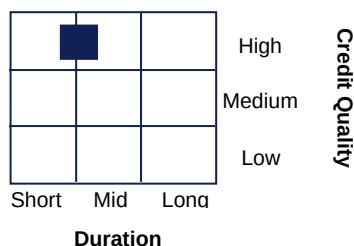
The Structured Bond Mandate is managed with the objective of providing a diversified tax-efficient fixed income portfolio for risk-averse investors. The manager is expected to generate some value added by holding securities with yields in excess of money market yields. The minimization of trading costs in the mandate is an important consideration. The mandate shall be of high quality and the minimal acceptable credit rating of any security in the mandate shall be 'A'.

Investment process and risk controls

As the focus of this mandate is to provide safety of capital and interest generation, trading in and out of bonds will be restricted to exceptional opportunities only. Essentially this is a buy-and-hold strategy with the following characteristics and constraints:

- Government guaranteed bonds are restricted to a minimum of 35% and a maximum of 100% of the mandate value
- No security shall exceed 10 years in term
- The Average Term To Maturity (ATM) of the mandate will be maintained within a range of approximately 4 to 6 years
- Up to 10% of the mandate may be held in short-term money market securities
- All investments will be limited to bonds issued in Canadian dollars.

Fixed Income style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Income: To generate a steady stream of income

² Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 65% FTSE Canada Short-Term Bond Index; 35% FTSE Canada Mid-Term Bond Index

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